

Exam Copy

FORM TP 2010026



TEST CODE **01240020**

JANUARY 2010

**CARIBBEAN EXAMINATIONS COUNCIL
SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 02 - General Proficiency

2 hours

06 JANUARY 2010 (a.m.)

**Answer ALL the questions in Section I, ONE question in Section II
and ONE question in Section III as indicated.**

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SECTION I

Answer ALL THREE questions in this section.

- 1.** (a) (i) Define the term 'barter'. (2 marks)
- (ii) State TWO problems associated with barter. (4 marks)
- (iii) Explain TWO ways in which the use of money can overcome the problems associated with barter. (4 marks)
- (b) Compare the private sector with the public sector in terms of the following:
- (i) Ownership and control
- (ii) Objective or motive
- (iii) Source of capital (6 marks)
- (c) Outline TWO ways in which a free market economy differs from a planned or command economy. (4 marks)

Total 20 marks

- 2.** (a) State TWO functions of EACH of the following departments of a business:
- (i) Marketing
- (ii) Finance (8 marks)
- (b) State TWO reasons why individuals may decide to start their own business. (2 marks)
- (c) Explain TWO differences between long-term planning and short-term planning. (4 marks)
- (d) State THREE advantages of a private limited company. (6 marks)

Total 20 marks

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3. Ms. Vanessa operates a bike rental business from her home, but is contemplating opening a rental office on Main Street in the city.
- (a) Identify FOUR factors that should influence Ms. Vanessa's choice of a business location. (4 marks)
 - (b) State TWO advantages of operating a small business. (4 marks)
 - (c) State TWO disadvantages that may result from business expansion. (4 marks)
 - (d) Identify TWO forms of technology that are essential for operating a business. (2 marks)
 - (e) Describe THREE benefits of using technology in business. (6 marks)

Total 20 marks

SECTION II

Answer EITHER Question 4 or Question 5. Do NOT answer both.

4. (a) Identify TWO sources of income for EACH of the following:
- (i) Individuals
 - (ii) Businesses (4 marks)
- (b) Identify FOUR types of services provided by commercial banks. (4 marks)
- (c) Outline THREE characteristics of a credit union. (6 marks)
- (d) (i) Define the term 'budgeting'. (2 marks)
- (ii) State TWO purposes of budgeting. (4 marks)

Total 20 marks

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- 5.** (a) Define EACH of the following terms:
- (i) Human resources
 - (ii) Productivity (4 marks)
- (b) Describe the following levels of production:
- (i) Subsistence
 - (ii) Domestic
 - (iii) Surplus (6 marks)
- (c) State TWO ways in which the efficiency of labour can be improved. (4 marks)
- (d) Discuss TWO factors that can impact negatively on the productivity of workers. (6 marks)
- Total 20 marks**

SECTION III

Answer EITHER Question 6 OR Question 7. Do NOT answer both.

- 6.** (a) (i) Define the term 'standard of living'. (2 marks)
- (ii) Identify TWO indicators of standard of living. (2 marks)
- (b) Distinguish between 'economic growth' and 'economic development', giving TWO examples of EACH. (8 marks)
- (c) (i) Define the term 'balance of payment'. (2 marks)
- (ii) Discuss TWO measures that a country may adopt to address its balance of payments problem. (6 marks)
- Total 20 marks**

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7. (a) Define the term 'foreign direct investment' (FDI). (2 marks)
- (b) Outline THREE factors that could discourage FDI from coming to the Caribbean. (6 marks)
- (c) State THREE ways in which FDI may be attracted to the Caribbean. (6 marks)
- (d) Discuss TWO ways in which Caribbean countries benefit from foreign investments. (6 marks)

Total 20 marks

END OF TEST